

Client Suitability Guidelines

Effective Date: January 1, 2025 | Next Review: January 1, 2026

1. Purpose

This document establishes the bank's suitability guidelines for matching investment products to client risk profiles. All relationship managers and investment advisors must adhere to these guidelines when making product recommendations. Non-compliance may result in disciplinary action and regulatory reporting obligations under CSA National Instrument 31-103.

2. Risk Profile Definitions

Each client must be assigned one of the following risk profiles based on their completed Know Your Client (KYC) questionnaire. The KYC must be updated at least every 12 months or upon a material change in client circumstances.

Conservative:

- Investment horizon: 1-3 years
- Risk tolerance: Low -- client cannot tolerate a decline of more than 5% in any 12-month period
- Primary objective: Capital preservation and income
- Suitable products: GICs, money market funds, short-term bond funds

Moderate:

- Investment horizon: 3-7 years
- Risk tolerance: Medium -- client can tolerate a temporary decline of up to 15%
- Primary objective: Balanced growth and income
- Suitable products: Balanced funds, dividend ETFs, medium-term bond funds

Aggressive:

- Investment horizon: 7+ years
- Risk tolerance: High -- client can tolerate a temporary decline of up to 30%
- Primary objective: Long-term capital appreciation
- Suitable products: Equity funds, sector ETFs, global equity funds, emerging market funds

3. Target Asset Allocation by Risk Profile

Asset Class	Conservative	Moderate	Aggressive
Canadian Equities	5%	25%	40%
U.S. Equities	0%	15%	25%
International Equities	0%	10%	20%
Canadian Bonds	50%	25%	5%
Corporate Bonds	20%	15%	5%
Cash & Equivalents	25%	10%	5%

4. Rebalancing Policy

Portfolios must be reviewed for rebalancing at least quarterly. A rebalancing event is triggered when any asset class deviates from its target allocation by more than the following thresholds:

- Conservative profile: +/- 5 percentage points

- Moderate profile: +/- 10 percentage points
- Aggressive profile: +/- 10 percentage points

When a threshold is breached, the relationship manager must contact the client within 5 business days to discuss rebalancing options. All rebalancing recommendations must be documented in the client file with rationale and client acknowledgment.

Automatic rebalancing is available for clients enrolled in the Managed Portfolio Program. Clients not enrolled require explicit written consent before any trades are executed.

5. Product Concentration Limits

No single security may represent more than 10% of a client's total portfolio value. No single industry sector may represent more than 25% of the equity portion of the portfolio. These limits apply at the time of purchase; subsequent market movements may cause temporary breaches, which must be addressed at the next quarterly review.

Exceptions require written approval from the Branch Investment Compliance Officer.

6. Suitability Override Process

If a client insists on a product recommendation that does not align with their risk profile, the advisor must:

1. Clearly explain the risks of the unsuitable investment in writing
2. Obtain the client's signed acknowledgment on Form INV-42 (Unsuitability Acknowledgment)
3. Submit Form INV-42 to the Branch Compliance Officer within 2 business days
4. Document the interaction in the CRM system with the override reason code

The Compliance Officer will review and may escalate to Regional Compliance if the override involves more than \$250,000 or the client's full portfolio.

CONFIDENTIAL -- This document is the property of the bank and is intended for internal use only. Unauthorized distribution or reproduction is strictly prohibited. All policies are subject to regulatory requirements and may be updated without prior notice.